

HSBC Holdings plc (0005)

Initial view from seminars; well positioned to capitalise on structural Asia trends

HSBC's seminars described the Group's market-leading positions in Asia and Hong Kong, with a focus on primary banking relationships, its deposit franchise, and its payments expertise to drive Banking NII and Fee income across the long term. Whilst 2026-28E targets remain unchanged (ROTE $\geq 17\%$ annually, revenue growth rising to 5%/y in 28E, 50% dividend payout) and in line with our expectations into this event, our initial view is that the increased granularity of the Group's Asia strategy gives us confidence on delivery, with our forecast for ROTE growing to 18.5% 28E. We see the Group well-positioned to capitalize on structural trends in Asia across Wealth and the Wholesale network, whilst the Group continues to gain share in key segments such as payments. We outline the key highlights below:

- Wealth business strengthens deposit franchise:** We note that Wealth relationships drive 34% of Group deposits and ~25% of Group revenues, including c20% of Banking NII driven by Wealth deposits (c\$9bn o.w. two-thirds Asia) and Wealth fee income (c\$9.4bn, o.w. Asia \$6.7bn). The Group's high-quality deposit relationships are the primary driver of Banking NII (with Group LDR of 55%, instant access deposits worth 124% of loans and 70% of total deposits) and form the foundation of the Group Wealth business model.
- Asia Wealth as a structural growth driver:** HSBC is Asia's #1 Wealth Manager with \$1,055bn in wealth balances (vs closest peer at \$795bn). The Group is well placed to capture the structural growth opportunity with 1) continued strong customer acquisition (62% FY23-25 CAGR in new-to-bank retail customers to 1.3mn in FY25) in a large untapped market (73mn Chinese Mainland individuals with offshore wealth needs in FY25) and leveraging its multi-market presence across 8 offshore wealth centres and, 2) deepening wealth penetration with only c35% of Premier customers holding a wealth product with HSBC, including only c50% penetration in HSBC Hong Kong and 33% penetration in the International Wealth & PB division. At present, the Group has 5m Premier accounts including 1.4m in HK and 1.2m in the UK.
- International Wealth and PB (IWPB) is strategically focused on Affluent, HNW and Wealth,** with limited non-affluent client acquisitions and a strategy to exit monoline retail product sales. The number of IWPB markets has also reduced to 26 (vs 37 FY20). Within PB, there is a focus on accelerating inhouse referrals from wholesale clients (which represented c30% of NNM and lending flows in FY25, potential conversion of a wholesale client base of 1M), and scaling the PB proposition to serve the \$2-10m segment (with >30% of new PB

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Overweight

0005.HK, 5 HK

Price: HK\$141.70

21 May 2026

Price Target: HK\$182.00

PT End Date: 31 Dec 2026

Banks & Financial Services

Katherine Lei ^{AC}

(852) 2800-8552

katherine.lei@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/

J.P. Morgan Broking (Hong Kong) Limited

Lincoln Yu

(852) 2800 8523

lincoln.yu@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/

J.P. Morgan Broking (Hong Kong) Limited

Haomin Chen

(86-21) 6106 6347

haomin.chen@jpmorgan.com

SAC Registration Number: S1730524080002

J.P. Morgan Securities (China) Company Limited

Kian Abouhossein

(44-20) 7134-4575

kian.abouhossein@jpmorgan.com

J.P. Morgan Securities plc

Sheel Shah, CFA

(44-20) 7134-8455

sheel.shah@jpmorgan.com

J.P. Morgan Securities plc

Venkat Madasu

(44-20) 3493-9041

venkat.madasu@jpmorgan.com

J.P. Morgan Securities plc

clients sourced from Premier, potential conversion of a 5M Premier client base).

- **Leading Asia CIB franchise:** HSBC's scale and market position in Asia CIB (#1 in Trade, Payments, FICC, Lending and #2 in DCM, Securities Services) is key to its global CIB franchise (Asia forms c50% of CIB revenues), capturing structural tailwinds linked to the region including fast-growing Intra-Asia trade and China enterprise globalization (+7% y/y growth 2025 in China outbound investments). Its international network (>50 markets) with scale in all major Asian markets underpins continued market share gains (+50bps y/y to 8.4% in Asia Trade, +30bps y/y to 5.9% in Asia Payments revenues), also evidenced by Asia-linked multi-jurisdictional client growth of +17% FY23-25, including +40% growth in China outbound and +15% growth in India inbound clients.
- **Payments underpin Corporate client relationships:** In Payments, the Group holds a #2 Global (4.9% market share, +230bps vs FY20) and #1 Asia position (5.9% market share, +300bps vs FY20), with a real-time payments offering in 63 markets, and \$864bn of deposits. There is also strong penetration within the Payments franchise, with c70% of Corporate clients holding 3+ solutions and c50% holding 4+, offering stronger relationships and revenue multipliers. Within Digital Markets, its tokenised deposit service is live in 5 markets across 6 currencies, with c\$28bn of volume in 1Q26.
- **HSBC HK inbound flow monetisation:** HSBC Hong Kong has seen strong client acquisition momentum, highlighted in Retail/Wealth new-to-bank metrics (new-to-bank customers of 1.1M in FY25, 3x vs FY23 with non-resident HK customers driving the growth compared to broadly flat resident HK trends) and Commercial new-to-bank metrics (22k China-linked new-to-bank customers FY25, +47% vs FY23). The Group has also seen a +30% y/y increase in new book invested assets per Premier customer showing stronger commercialisation, with the total new book contributing to c50% of the growth in deposits and c20% of the growth in investment product invested assets.
- **Deeper penetration of the HSBC HK customer base:** Of HK's 7M active Retail & Wealth customers, c83% are Mass retail, c15% are Premier (\$125k threshold) with a 10x revenue factor per customer compared to Mass retail, and c2% are Premier Elite (\$1m threshold) with a c65x revenue factor. 40% of Premier client acquisitions (with a +10% y/y client base) have been driven by uptiering, while 50% of Premier customers do not yet have a Wealth product with HSBC showing potential penetration upside. Similarly, of HSBC HK's 367k Commercial client base, 93% are Business banking clients with an average of 1.9 products, compared to Mid-market clients with 3.2 average products and c20x revenue multiplier (vs Business banking clients), and Large corporate clients with 3.4 average products and c65x revenue multiplier.

- **Hang Seng Bank growth opportunities:** HSB (3.3M Retail customers, 100k business customers in HK) growth opportunities are focused in 3 main areas: 1) Expanding the Retail customer base through digitalisation and a greater presence in HK, whereby the Group's Prestige & Prestige Private customer base represents c60% of Retail revenues and has seen +9% customer growth CAGR '23-25 with >50% of customer acquisition coming from Mainland China; 2) Wealth (c20% of HSB revenues) where fee income has grown +23% CAGR '23-25; 3) Commercial, focused on China-linked client acquisitions (which already represents c30% of acquisitions and generate 2x revenue per customer), and a wider product range through Transaction Banking and Wealth.

Investment Thesis

HSBC's self-help programs in the past decade have lifted normalized and through-the-cycle RoTE from 8% to 17%. This means that the adjusted dividend yield (including share buybacks [SBB]) will stay at ~8% after the rate cycle, on our estimates. Despite a three-quarter suspension in buybacks due to the HSB privatization, we estimate HSBC's 2026-28 total shareholder return yield at 8-10% each year, the highest within our bank sector coverage in the Greater China region. We see declines in revenue in the medium term as a result of business disposals as well as rate cuts and loan growth also under pressure, but fee income will likely provide some support, given strong momentum in Transaction Banking and Wealth. The group's restructuring plan could benefit on the cost side, depending on scale. We expect 2026/27/28 RoTE (excluding notable items) to be 17.9%/18.3%/18.5%, broadly in line with HSBC's above-17% guidance. We rate HSBC Overweight.

Valuation

Our Dec-26 PT of HK\$182 is based on our DDM analysis, with NAV discounted back to Dec-26 from 2028E and a fair P/B of 2.0x. Our key assumptions are a normalized ROE of 16.1%, a long-term growth rate of 2.4% and a cost of capital of 9.1%.

Risks to Rating and Price Target

Key downside risks to our rating and price target include:

- **Macroeconomic risks:** HSBC is exposed to GDP growth in Hong Kong SAR, Mainland China and the UK, as well as FX and cross-border/political risks, which could pose downside risks. Similarly, the global interest rate and inflation outlook could impact group margins, which may differ from our expectations.
- **EM outlook:** We expect the asset quality outlook to deteriorate and forecast CoR growth above normalized levels in the medium term – although we see both upside and downside risks to this. This includes specific areas such as China CRE, where the group has a large unsecured exposure, and Hong Kong CRE, where the portfolio has seen sharp deterioration.
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HSBC Holdings plc (0005) (0005.HK, 5 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 31, 2000. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
07-Jul-23	N	61.00	66
07-Aug-23	OW	63.85	80
16-Oct-23	OW	62.50	81
31-Oct-23	OW	57.20	83
17-Jan-24	OW	59.10	81
22-Feb-24	OW	60.25	74
10-Apr-24	OW	63.90	78
02-May-24	OW	67.00	83
06-Aug-24	OW	62.05	86
19-Nov-24	OW	70.55	90
17-Feb-25	OW	84.50	95
20-Feb-25	OW	88.40	108
20-Mar-25	OW	89.75	115
05-May-25	OW	86.20	108
22-Jul-25	OW	98.45	118
01-Aug-25	OW	96.15	122
30-Oct-25	OW	106.50	132
02-Dec-25	OW	110.50	138
05-Feb-26	OW	139.00	165
18-Mar-26	OW	124.80	180
07-May-26	OW	140.50	182

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